

Before the
FEDERAL MARITIME COMMISSION

Docket No. 24-01

Visual Comfort & Co. v. COSCO Shipping Lines Co. Ltd.

MOTION FOR PARTIAL JUDGMENT ON THE PLEADINGS

Respondent COSCO Shipping Lines Co. Ltd (“Respondent” or “COSCO”) hereby moves pursuant to 46 C.F.R. 502.61(b)(1), 46 C.F.R. 502.69(g), and 46 C.F.R.502.70 that it be granted partial judgment on the pleadings and that the above-captioned Complaint accordingly be dismissed insofar as it seeks reparations. As detailed below, the basis of this motion is the “direct purchaser” rule, which the Federal Maritime Commission has followed unerringly for 90 years. Complainant Visual Comfort & Co. (“VCC”), is, at best, only an indirect purchaser, so lacks standing to pursue reparations. This is a dispositive motion subject to FMC Rules 69(g) and 70. 46 C.F.R. §§ 502.69(g) and 502.70.

MEMORANDUM IN SUPPORT OF
MOTION FOR PARTIAL JUDGMENT ON THE PLEADINGS

PROCEDURAL BACKGROUND

The complaint in this matter (“Complaint”) was served by the Commission on January 4, 2024. It asserts that Respondent violated specified provisions of the Shipping Act and, as relevant here, seeks reparations for alleged injury from the claimed violations. The claim for reparations indisputably rests on a challenge to certain charges allegedly (but not actually) imposed on the Complainant by COSCO. It is thus by its very nature a claim to recover alleged overcharges.

ARGUMENT

I. Standards for Partial Judgment on the Pleadings

Although the FMC Rules do not expressly provide for motions for judgment on the pleadings, FMC Rule 12 provides:

[I]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12.

And as the Commission has explained in a previous decision, “[m]otions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c),” and the standard of review for a 12(c) motion is “essentially the same” as that of a 12(b)(6) motion to dismiss. *Ovchinnikov v. Hitrinov*, 6 FMC2d 106, 115 (FMC 2023).¹

II. Only “Direct Purchasers” Of Transportation Services May Seek Reparations

Although any "person" may file a complaint alleging a violation of the Shipping Act of 1984, 46 U.S.C. § 41301(a), only those that suffer "actual injury" as a result of the violation are entitled to seek reparations. 46 U.S.C. § 41305(b). Longstanding interpretation of the Shipping Act has been that, where the claims are based on unreasonable or excessive charges, as they are here, only the entities that purchased the relevant services directly from the ocean common carrier (“direct purchasers”) have suffered the "actual injury" that confers standing to seek reparations. See, e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea-*

¹ Federal Rule of Civil Procedure 12(c) provides that “[a]fter the pleadings are closed, but early enough not to delay trial, a party may move for judgment on the pleadings.”

Land Serv., Inc., 29 S.R.R. 894 (ALJ, Admin. Final 2002). As the Commission explained in *OCEMA*:

“For the past 90 years, the Commission and its predecessor agencies² have followed Supreme Court precedent in applying what has become known as the ‘direct purchaser rule.’ . . . [T]he direct purchaser rule deems the person that paid illegal overcharges (or directly sustained them) as ***the only person*** ‘directly damaged,’ regardless of what may have occurred later.” 2024 WL 641501, at *44.

Likewise, in *TCW* the Commission stated, citing to *In re Vehicle Carrier Services and Gov't of Guam v. Sea Land*:

“Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain..... Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.’” 2022 WL 18068977, at *7

The Commission's application of the "direct purchaser" standing rule has roots over a century old. In *Southern Pacific Co v. Damell-Taenzer Lumber Co.*, 245 U.S. 531 (1918), a case involving reparations ordered by the Interstate Commerce Commission, the Supreme Court explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier. This rule was imported into the Shipping Act in 1934. *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934). There, the FMC held that the bankrupt direct payor complainant, not the trustee in the complainant's later-filed bankruptcy, was the only proper party at interest. Its holding explicitly relied on *Southern Pacific* in concluding that the Shipping Act "authorizes an award of reparations to the party injured," that the complainant "was injured the moment he paid the charges and was the person directly damaged by the collection of

² For purposes of clarity, we refer to both the current Commission and its predecessors as “FMC.”

the illegal rates[.]" Id. at 310-11.³ The direct purchaser rule applies even where the complainant is an affiliate or parent of the entity that actually paid the carrier.⁴

The Commission's "direct purchaser" rule is similar to that applied by the United States federal courts with respect to the federal antitrust laws. As the Commission recently stated: "The Commission's rule is consistent with the Supreme Court's direct purchaser rule developed in *Illinois Brick v. Illinois*, 421 U.S. 720 (1977)." *TCW*, 2022 WL 18068977, at *8.

III. Complainant Is Not A Direct Purchaser

Complainant seeks reparations relating to alleged (but unspecified) detention, demurrage, per diem, and storage charges, even though: (1) COSCO never provided ocean transportation services to VCC; (2) VCC did not have a service contract with COSCO; (3) VCC did not appear as a shipper or consignee on any COSCO bill of lading; (4) COSCO did not directly invoice charges to VCC; and (5) VCC did not directly pay any charges to COSCO, but rather, repaid the

³ Following *Oakland Motor Car*, the Commission consistently has continued to apply the "direct purchaser" standing rule for reparations complaints. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), holds that "the law in complaint cases involving alleged overcharges ... is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." To like effect, see, e.g., *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *FMC Corp. v. Argentine Line*, 19 S.R.R. 140, 1491 (Settle. Off. 1980).

⁴ See, e.g., *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417, 419 n.2 (FMC 1995) (holding that "the Commission has ruled that an overcharge case complainant, not merely its corporate affiliate, parent, or subsidiary, must produce evidence that it has either paid the freight or has validly succeeded to the claim"); *Procter & Gamble Mfg. Co. v. Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991) (holding that parent company of "direct purchaser" shipper was ineligible to file claim for reparations because subsidiary, not parent, "paid the applicable charges and suffered any injury that might have resulted therefrom").

“first purchasers” -- e.g. non-vessel operating common carriers (NVOCCs) -- which were the actual entities that paid COSCO (or another third party).

The Complaint does not state that VCC was a direct purchaser; nor does it allege that VCC paid any of the challenged charges directly to COSCO. Instead, it hides behind imprecision, using ambiguity to suggest that it might qualify as a direct purchaser. For example, Allegation 13 of the Complaint alleges that COSCO assessed VCC with detention, demurrage, and storage charges on hundreds of containers, while Allegation 20 alleges that the charges were “paid by Complainant.” These allegations might suggest, but certainly do not say, that COSCO sent invoices directly to VCC or that VCC paid the charges directly to COSCO. Given the importance of being a “direct purchaser,” such vague allegations are misleading at best.

Indeed, Counsel for VCC has recently acknowledged that the invoices VCC received came from NVOCCs, which were providing transportation services to VCC under those NVOCCs’ own House Bills of Lading, and that the payments VCC allegedly made were paid to those NVOCCs, not to COSCO. She further suggested that the NVOCCs that sent invoices to VCC, were simply extending a courtesy to COSCO by sending their own invoices to VCC, an assertion that is legally

untenable.⁵ Counsel for VCC thus plainly recognized that VCC was, at most, an indirect purchaser from COSCO.⁶

In sum, VCC does not, and cannot, claim that it was invoiced by COSCO or that it paid any charges directly to COSCO.⁷ Accordingly, under the direct purchaser rule, VCC is not entitled to seek reparations for the allegedly improper charges. Its remedy, if any, lies with the NVOCCs who actually invoiced VCC and to which VCC allegedly paid any such charges.⁸

⁵As the Commission has recently reiterated, an ocean common carrier **may not** send invoices to entities as to which the carrier is not in contractual privity, such as VCC here. *See, e.g.,* Docket No. 21-17, *Ocean Network Express, PTE., LTD.- Possible Violations of 46 U.S.C. § 41102(C)* (FMC Order of Investigation and Hearing; (December 30, 2021) (“Upon information and belief, ONE unreasonably defined and applied its definition of a merchant to demand payment from Greatway, when Greatway was not in privity of contract with ONE”). The recently issued Final Rule on Demurrage and Detention Billing Practices, 89 Fed. Reg. 14330 (February 26, 2024) (to be codified at 46 C.F.R. 541.4) confirms the above, and specifically states that invoices for demurrage and detention may only be issued to the shipper or, in some cases, the consignee.

⁶ We also note that Allegation 50 falsely asserts that VCC had a service contract with COSCO. This patently untrue allegation obviously reflects the verbatim copying of allegations in other complaints on file at the Commission, without giving thought to their application to the Complaint. We assume that these inaccurate allegations regarding the invoice/payment process and about the existence of a non-existent service contract statements were the result of inexperience with FMC practice and perhaps some degree of sloppiness, so do not here press the suggestion that these misstatements were made for the purpose of obfuscation, which would raise significant questions as to Counsel’s compliance with FMC Rule 6(a); 46 C.F.R. 502.6(a), and as to the veracity of the verification.

⁷ We do not expect VCC to dispute this obvious truth, but to the extent it does, suggest that the Presiding Officer require VCC to amend its Complaint to specify each shipment for which it claims to have received an invoice from COSCO and to have paid charges directly to COSCO. *See* FMC Rule 252 and Exhibit 1, thereto, which requires that a reparation statement identify the date that the challenged charges were paid and the “person paying charges in the first instance.”

⁸ Counsel for VCC has threatened that VCC will consider bringing NVOCCs and other third parties into the case as needed. COSCO, of course, has no objection to VCC filing one or more complaints against the NVOCCs that provided it with transportation services, but notes that this would do nothing to overcome the clear fact that VCC has **no standing** to seek reparations **from COSCO**.

CONCLUSION

For the foregoing reasons, the Presiding Officer should dismiss the Complaint insofar as it seeks reparations.

DATED: March 20, 2024

Respectfully submitted,

s/ Nicholas Webb

JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Rebecca A. Fenneman

RFenneman@JeffreyFenneman.com

Eric C. Jeffrey

EJeffrey@JeffreyFenneman.com

Kaya C. Massey

KMassey@JeffreyFenneman.com

Nicholas L. Webb

NWebb@JeffreyFenneman.com

700 12th Street, NW Suite 700

Washington, DC 20005

202-904-2301

**ATTORNEYS FOR RESPONDENT,
COSCO Shipping Lines Co. Ltd.**

CERTIFICATE OF SERVICE

I certify that on the 20th day of March, 2024, a true and correct copy of the foregoing **MOTION FOR PARTIAL JUDGMENT ON THE PLEADINGS** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEY FOR COMPLAINANT:

Buchanan, Ingersoll & Rooney, LLP
Jennifer M. Oliver, Esq
600 W. Broadway, Suite
1100
San Diego, CA 92101
Jennifer.oliver@bipc.com

/s/ Nicholas Webb

Nicholas L. Webb
NWebb@JeffreyFenneman.com
Tel: (202) 904-2301
Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005